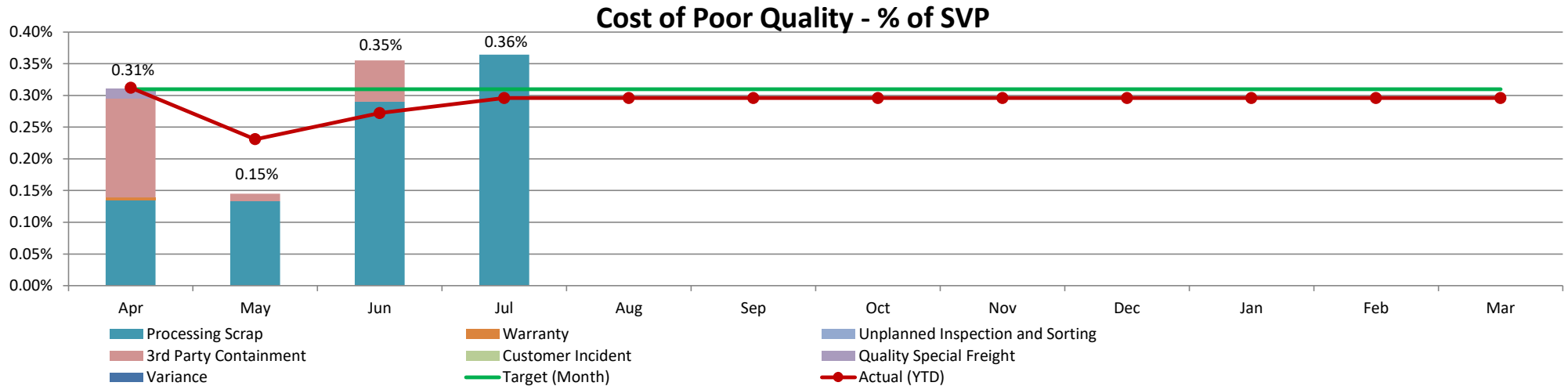


Quality – Cost of Poor Quality

Plant: JEO (Korea)

Reporting Period: July, FY-2027



Comments | Path Forward | Actions:

- ▶ Plant target for COPQ in July : 0.31%
 - COPQ Actual in July : 0.36%
 - YTD Actual : 0.30%

- ▶ Comments : COPQ in July consisted of
 - Scrap Cost : 100% (53 MKRW)
 - Customer Cost : 0%

- ▶ COPQ(%) did not achieve the target.

- 1. Internal scrap cost
 - Carrier scrap due to generator failure in TM Part Sintering.
_ scrap cost 17 MKRW

- ▶ Path Forward
 - Implement continuous improvement activities to reduce COPQ

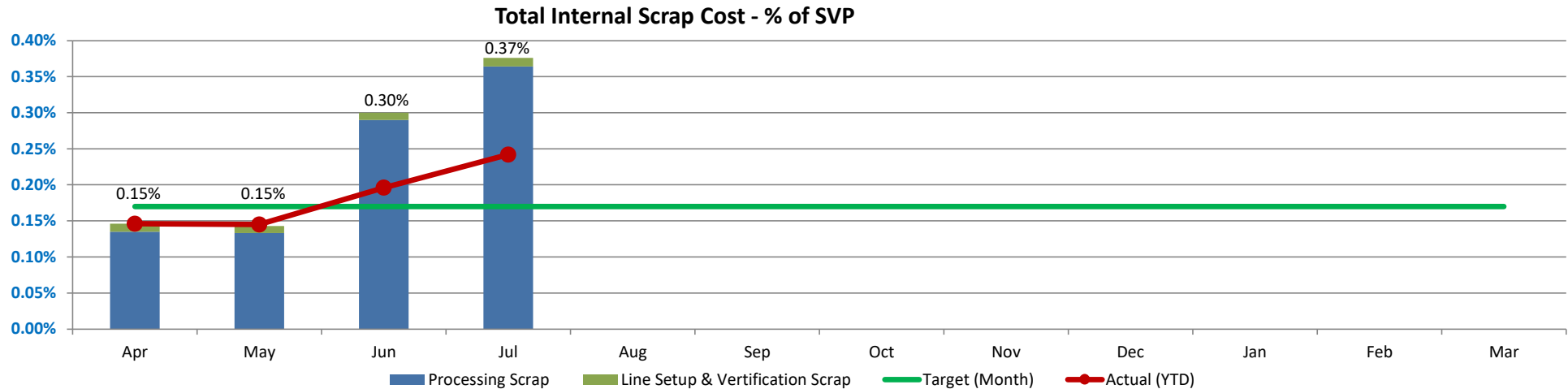
- ▶ Actions
 1. Completed repairs on the sintering generator and restored normal gas supply.
 2. Updated the PM checklist for the generator to prevent recurrence. (Maintenance team)



QUALITY – Total Internal Scrap Cost

Plant: JEO (Korea)

Reporting Period: July, FY-2027



Comments | Path Forward | Actions:

- ▶ Plant Target for Scrap Cost in July : 0.17%
- Actual Scrap-cost in July : 0.37%
- YTD Actual : 0.24%

- ▶ Internal scrap cost did not achieve the target.

1. Scrap cost
 - Carrier scrap due to generator failure in TM Part Sintering. _ scrap cost 17 MKRW

▶ Actions

1. Completed repairs on the sintering generator and restored normal gas supply.
2. Updated the PM checklist for the generator to prevent recurrence. (Maintenance team)

- ▶ Comments : Scrap rate in July consisted of
 - Part1 (VMS Parts) : 30% (12 MKRW)
 - Part2 (Transmission Parts) : 70% (28 MKRW)

- ▶ Path Forward
 - Reduce scrap costs through continuous process improvement and management

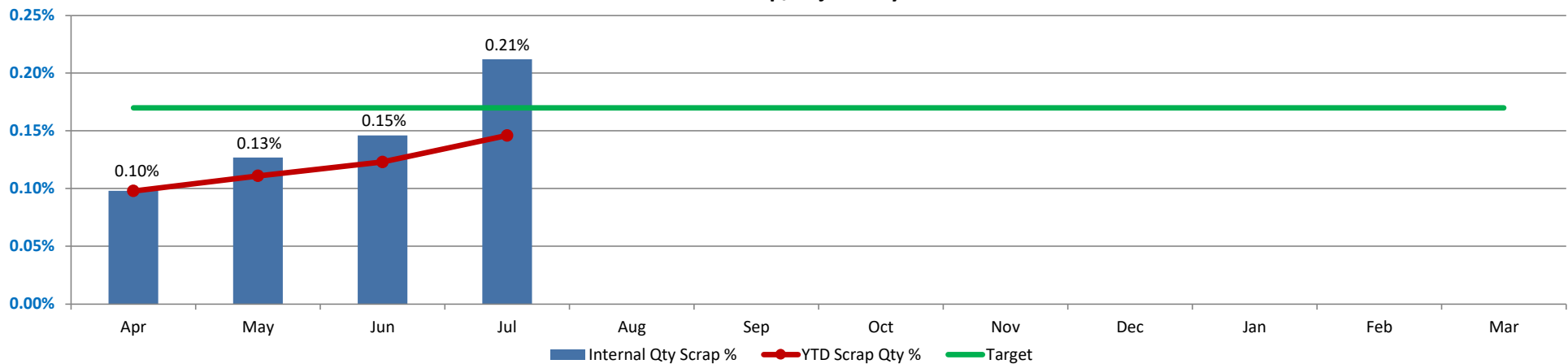


Quantity Total Internal Scrap/Reject as % of Total Produced

Plant: JEO (Korea)

Reporting Period: July, FY-2027

Total Internal Scrap/Reject Qty as % of Total Produced



Comments | Path Forward | Actions:

- ▶ Plant Target for Scrap Qty in July : 0.17%
- Actual Scrap Qty in July : 0.21%
- YTD Actual : 0.15%

- ▶ Internal scrap qty(%) was achieved the target.

- 1. Scrap qty(%)
 - There was nothing special about the scrap cost

- ▶ Actions

1. Check of process management status as a preventive activity
2. Analysis and continuous improvement of damage factors between processes

- ▶ Comments : Scrap rate in July consisted of
 - Part1 (VMS Parts) : 91%
 - Part2 (Transmission Parts) : 9%

- ▶ Path Forward
 - Reduce scrap costs through continuous process improvement and management